

Manmohan's earlier statement in Delhi that "if the deal does not come through, it is not the end of life", caught the US officials completely off-guard. With the administration "flying blind", as an observer puts it, concerned US Ambassador David Mulford sought clarifications from External Affairs Minister Pranab Mukherjee over the about-face and its implications on the deal. With the nuclear deal turning out to be the keystone of a "transformed" Indo-US relationship, the worry is that a backtracking on the deal may result in a new low. The fallout is likely to trigger a major slow-down in a host of other initiatives, including in agriculture, science and technology.

There would also be an international loss of face for India. Countries like France, the UK and Russia which had lobbied hard for the deal and were expecting to trade with India on civilian nuclear technology, are troubled by the new scheme of things. What the UPA Government couldn't state, without offending the US legislators, was that in terms of trade the true beneficiaries of the deal would have possibly been France and Russia, as their nuclear power companies are far ahead of their US counterparts in terms of technology.

Others like China, who were opposed to the deal, would perhaps be secretly relieved if it falls through. These countries would not have to vote against India or the US in the NSG now and, therefore, not offend either of them. Michel Krepon, founder president of the Stimson Centre, says, "Unless there is a green light from Delhi, none of these countries would see any equity in moving forward

on the nuclear deal."

Opinion is divided among experts as to why Manmohan and the Congress made such a drastic turnaround on the deal. Some believe that the Congress is "stooping to conquer" by seemingly giving in to Left pressure. With the Left insisting that the deal be debated in the winter session of Parliament, and the Gujarat and Himachal Pradesh elections scheduled for December, the Government would

disrupts all political calculations. Any delay beyond that would make it difficult for the administration to get the deal passed by the Congress as it is a contentious issue among US legislators, who may not want to take a stand on it till a new executive is in place.

Why is it so important to see the deal through during Bush's presidency? Because though the Hyde Act would still be law and the 123 Agreement waiting to be endorsed, the

next US President may not be as favourable or pushy with the deal as Bush has been. Neither of the two Democrat front-runners—

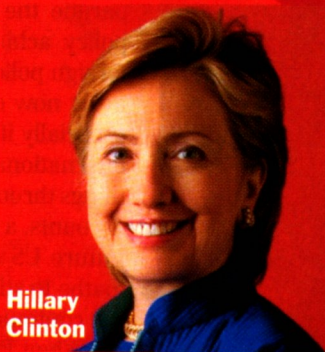
Hillary Clinton or Barack Obama—has been overly enthused about the deal. Obama even pushed for a killer amendment on the strategic reserve of fuel for reactors that India imports, which the Bush administration had to steer into the non-binding sections of the Hyde Act. Clinton despite being a key figure in pro-India caucuses, made no effort to champion the deal. Says Krepon: "The nuclear deal would be a lesser priority for a new president."

The same would hold true if the Republicans returned to power. A Republican President would be wary of

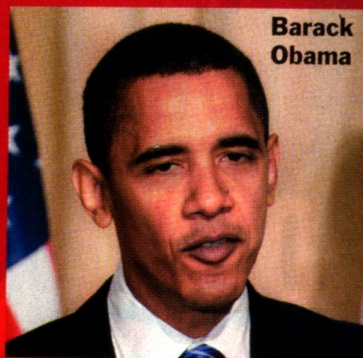
going out of the way on the deal after India let Bush down. Any renegotiation of the 123 Agreement may end up with tougher clauses being pushed on India than what Bush has agreed to. Says a Washington insider: "India may have to suffer adverse consequences if it renegotiates the deal." It was his way of saying that the nuclear deal is as good as dead if India didn't move ahead with it during the final year of Bush's Presidency. ■

AFTER BUSH WHAT?

Neither a Democrat nor a Republican will move on the deal in a hurry

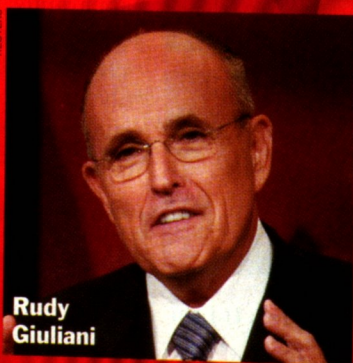


Hillary Clinton

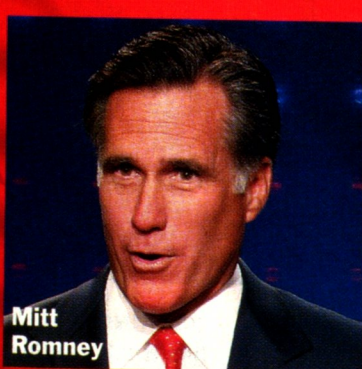


Barack Obama

THE DEMOCRATS: Clinton made no effort to champion the nuclear deal, while Obama even moved a killer amendment. A Democratic president is expected to take a tougher stand.



Rudy Giuliani



Mitt Romney

THE REPUBLICANS: If a Republican wins again, he is unlikely to push the deal as vigorously as Bush did. With India proving unreliable, expect no big breakthrough in relations.

probably wait for the results of these two events before making a decisive push for the deal. This is expected to happen in January, when, in a make-or-break decision, the Congress might put the deal on the fast track again, hoping to obtain IAEA and NSG clearances by the first week of February. That would still give the Bush administration sufficient time to pilot the deal through the US Congress before the Presidential elections later that year